Policy FAQs

Why aren't GIC's returns fully passed through to CPF members?

Your CPF savings are invested in Special Singapore Government Securities (SSGS), which are issued by the Singapore Government. The SSGS returns are guaranteed regardless of GIC's performance over any period.

Unlike in an arrangement where GIC's returns are fully passed through to CPF members, the current arrangement means that CPF members bear no investment risk at all and CPF savings are safe regardless of GIC's performance.

Did you know? GIC's returns benefit Singaporeans in other ways. Up to 50% of the expected returns from investing our reserves flow back to the Government's annual Budget through the Net Investment Returns Contribution. This provides valuable resources for the Government to implement policies for the benefit of all Singaporeans, including the strengthening of our social safety nets.